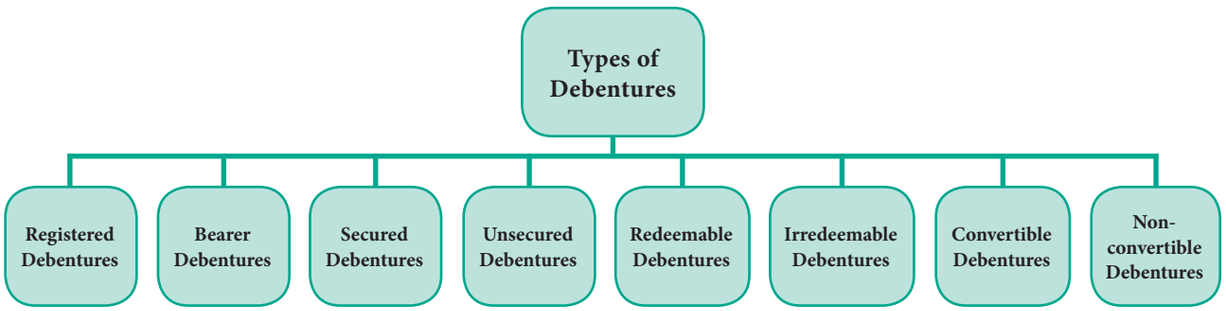


3. **Secured Debentures or Mortgage Debentures:** Mortgage debentures are those debentures that are secured either on a particular asset called fixed charge or on general assets of the company called floating charge. Mortgage debentures are also called collateral debentures. In this case, debentures may also be issued to banks and financial institutions as addition or subsidiary security along with certain principal security. Lending institutions can exercise their right as debenture-holders, if the company does not pay its loan and the principal security falls short.
4. **Un-secured or Naked Debentures:** Naked debentures are those which are not secured, companies of very good standing are able to issue Debentures of this type. They are not very common.
5. **Redeemable Debentures:** Redeemable Debentures are those debentures which are redeemed or the payment of which is made after a specified Period.

   Debentures are redeemable in the following manner:

   (i) At the expiry of a specified period at par or at a premium.
   (ii) Through purchase in the open market any time, at the price prevailing in the market.
   (iii) By annual drawings.
6. **Irredeemable Debentures:** Irredeemable Debentures are those for which the issuing company does not fix any date by when they should be redeemed and the holders of such Debentures cannot demand payment from the company so long as it is going concern. Usually such Debentures are repayable after a long period of time or when the company is winding up.
7. **Convertible Debentures:** Convertible Debentures are those whose holders are given the option to convert the debentures fully or partly into equity shares after a specified Period. Those which are fully convertible are called fully Convertible Debentures and those which are partly Convertible are called partly convertible debentures.
8. **Non-convertible Debentures:** Non-convertible debentures are those whose holders have no right to convert them into equity shares.

6.3.3 Auditor's Duty in Verification of Debentures

The auditor should note the following points while verifying debentures:

1. **Verify Borrowing Powers:** The auditor should verify the Memorandum and Articles of Association of the company and verify whether the company has got the power to issue debentures and ascertain the borrowing limits of the company.

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